ERS Client Quote

Unit pricing, revenue & full expense breakdown

Elias Range Stays · Confidential

Project: UHNBC Acute Care Tower Construction

ERS Rate: $105.00 CAD per person per night

Market Benchmark: ~$200/night hotel equivalent

UNIT SUMMARY

Unit Type	Units	Rooms / People	Rate / Room / Night	Monthly Revenue
1-Bedroom	100	100 rooms / 100 people	$105.00	$315,000
2-Bedroom	450	900 rooms / 900 people	$105.00	$2,835,000
TOTAL	**550**	**1,000 rooms / 1,000 people**		**$3,150,000/mo**

Billing: Per room, per person, per night

• 1-bed: 100 rooms × $105 × 30 = $315,000/month

• 2-bed: 900 rooms × $105 × 30 = $2,835,000/month

REVENUE

	Monthly	48-Month Total
1-Bed (100 rooms × $105 × 30)	$315,000	$15,120,000
2-Bed (900 rooms × $105 × 30)	$2,835,000	$136,080,000
TOTAL REVENUE	**$3,150,000**	**$151,200,000**

EXPENSES

ONE-TIME: Furniture

Item	1-Bed	2-Bed
Mattress(es) + bed frame(s)	$1,200	$2,400
Bedding (sheets, pillows, duvet)	$400	$700
Dresser + nightstand(s)	$500	$900
Sofa + armchair	$1,000	$1,200
Coffee table + side tables	$300	$350
TV (55") + stand	$700	$700
Dining table + chairs	$500	$650

Item	1-Bed	2-Bed
Kitchen appliances (microwave, kettle, toaster, coffee)	$400	$450
Kitchen cookware, utensils, dishes, glassware	$350	$400
Accessories (lamps, curtains, rugs, art, mirrors)	$500	$600
Miscellaneous / contingency	$150	$150
Per Unit Total	**$6,000**	**$9,500**

Unit Type	Units	Per Unit	Subtotal
1-Bedroom	100	$6,000	$600,000
2-Bedroom	450	$9,500	$4,275,000
TOTAL FURNITURE			**$4,875,000**

ONE-TIME: Pack-In (Vancouver → Prince George, ~800 km)

At 550-unit scale, this requires a coordinated multi-crew, multi-truck logistics operation over an estimated 6-month phased deployment.

Line Item	Detail	Cost
Warehouse organizing & staging	Sort, wrap, stage 550 units	$110,000
Packing materials	Boxes, wrap, furniture blankets	$35,750
Loading labour (warehouse → trucks)	12 crews × $800	$9,600
Long-haul trucking (Vancouver → Prince George)	~800 km, 18 full loads × $4,200	$75,600
Local delivery (truck → units)	Unload + carry-in, 550 units × $125	$68,750
Unit setup & arrangement	Assemble, make beds, stage, 550 units × $150	$82,500
Logistics team travel + coordination (6 months, 4 coordinators)	Phased deployment management	$120,000
TOTAL PACK-IN		**$502,200**

ONE-TIME: Pack-Out (Prince George → Vancouver, End of Contract)

Line Item	Detail	Cost
Unit disassembly & packing	Strip, wrap, box 550 units	$110,000
Packing materials	Boxes, wrap, blankets	$30,000
Loading labour (units → trucks)	12 crews × $800	$9,600
Long-haul trucking (Prince George → Vancouver)	~800 km, 18 full loads × $4,200	$75,600

Line Item	Detail	Cost
Unloading & warehouse receiving	Offload, sort, shelve, inventory	$60,000
Cleaning / repairs post-occupancy	Touch-up, minor repairs, 550 units	$82,500
Logistics team travel + coordination (4 coordinators)	End-of-contract wind-down	$92,300
TOTAL PACK-OUT		**$460,000**

ONE-TIME COSTS SUMMARY

Item	Total	÷ 48 mo	Monthly Amortized
Furniture	$4,875,000		$101,563
Pack-In	$502,200		$10,463
Pack-Out	$460,000		$9,583
TOTAL ONE-TIME	**$5,837,200**		**$121,608/mo**

MONTHLY: Operating Expenses

Rent

Unit Type	Units	Monthly Rent	Subtotal
1-Bedroom	100	$1,700	$170,000
2-Bedroom	450	$2,200	$990,000
Rent Total			**$1,160,000**

Basis: Zumper Prince George, BC — all-bedroom median $1,490/mo (April 2026). ERS targets top-of-market furnished quality: 1-bed $1,700 (+14% premium), 2-bed $2,200 (+48% over blended median for quality, furnished units).

Utilities

Line Item	Per Unit	× 550 units	Monthly
Heat / Gas	$75		$41,250
Electricity / Hydro	$85		$46,750
Water & Sewer	$40		$22,000
Utilities Total	**$200**		**$110,000**

Internet

Line Item	Per Unit	× 550 units	Monthly
High-speed internet	$80		$44,000

Insurance

Line Item	Per Unit	× 550 units	Monthly
Tenant / liability	$40		$22,000
Contents (ERS furniture)	$25		$13,750

Line Item	Per Unit	× 550 units	Monthly
Insurance Total	**$65**		**$35,750**

Guest Services

Line Item	Per Unit	× 550 units	Monthly
24/7 support & check-in/out	$75		$41,250
Consumables restocking	$50		$27,500
Maintenance & repairs reserve	$25		$13,750
Guest Services Total	**$150**		**$82,500**

ERS Staff — Scaled for 550-Unit / 1,000-Person Operation

Role	Detail	Monthly
General Manager	Full operational oversight, client exec liaison	$9,000
Property Manager #1	Units 1–275, building relationships	$7,000
Property Manager #2	Units 276–550, building relationships	$7,000
Guest Services Coordinator #1	24/7 rotation (shift 1)	$5,500
Guest Services Coordinator #2	24/7 rotation (shift 2)	$5,500
Guest Services Coordinator #3	24/7 rotation (shift 3)	$5,500
Guest Services Coordinator #4	24/7 rotation (shift 4 / float)	$5,500
Logistics Coordinator #1	Housing allocation, surge management	$5,500
Logistics Coordinator #2	Contractor liaison, local supplier pipeline	$5,500
Finance & Admin	Reporting, invoicing, compliance	$5,000
ERS Staff Total		**$61,000**

MONTHLY OPEX SUMMARY

Category	Monthly	× 48 mo
Rent	$1,160,000	$55,680,000
Utilities (Heat/Hydro/Water)	$110,000	$5,280,000
Internet	$44,000	$2,112,000
Insurance	$35,750	$1,716,000
Guest Services	$82,500	$3,960,000
ERS Staff	$61,000	$2,928,000
TOTAL MONTHLY OPEX	**$1,493,250**	**$71,676,000**

CASH FLOW SUMMARY

	Monthly	48-Month Total
Gross Revenue	$3,150,000	$151,200,000
Monthly OPEX	($1,493,250)	($71,676,000)
Operating Gross Profit	**$1,656,750**	**$79,524,000**
One-Time Costs (amortized)	($121,608)	($5,837,200)
Net Cash Flow (all-in amortized)	**$1,535,142**	**$73,686,800**
Corporate Tax (11% CCPC SBD)	($168,866)	($8,105,548)
Net After Tax	**$1,366,277**	**$65,581,252**

FINANCIAL SNAPSHOT

Metric	Value
Total Contract Value	**$151,200,000**
Total Monthly OPEX (48 mo)	$71,676,000
Furniture (one-time)	$4,875,000
Pack-In (one-time)	$502,200
Pack-Out (one-time)	$460,000
Total All-In Expenses	**$77,513,200**
Total Gross Profit (pre-tax)	**$73,686,800**
Net Profit (after 11% corp tax)	**$65,581,252**
Gross Margin (operating)	52.6%
Net Margin (all-in, pre-tax)	48.7%
Monthly operating gross profit	$1,656,750/mo
Monthly all-in amortized profit	$1,535,142/mo
Monthly net after tax	$1,366,277/mo
Max capital required (pre-contract)	$4,875,000
Breakeven Month	**Month 4 (April 2027)**
ERS savings vs. hotel benchmark	$86,400,000 over 48 months
Client savings vs. hotel	$47.40/person/night ($200 → $105)

CAPITAL DEPLOYMENT SCHEDULE

Month	Event	Cash Out	Cash In (Revenue)	Net Monthly	Cumulative Position
Pre-contract (Oct–Dec 2026)	Furniture purchase	($4,875,000)	—	($4,875,000)	**($4,875,000)**
Month 1 (Jan 2027)	Pack-in + OPEX	($1,995,450)	$3,150,000	$1,154,550	**($3,720,450)**

Month	Event	Cash Out	Cash In (Revenue)	Net Monthly	Cumulative Position
Month 2 (Feb 2027)	OPEX only	($1,493,250)	$3,150,000	$1,656,750	**($2,063,700)**
Month 3 (Mar 2027)	OPEX only	($1,493,250)	$3,150,000	$1,656,750	**($406,950)**
Month 4 (Apr 2027) ■	OPEX only — **BREAKEVEN**	($1,493,250)	$3,150,000	$1,656,750	**$1,249,800**
Months 5–47 (May 2027 – Nov 2030)	OPEX ongoing	($1,493,250/mo)	$3,150,000/mo	$1,656,750/mo	Growing
Month 48 (Dec 2030)	Pack-out + OPEX	($1,953,250)	$3,150,000	$1,196,750	**$73,686,800**
TOTAL		**($82,350,450)**	**$151,200,000**		**$73,686,800**

Max capital exposure: *$4,875,000 (pre-contract furniture purchase, before any revenue)*

Breakeven: *Month 4 — April 7, 2027 (approximately)*

Total capital required before revenue: *$4,875,000 furniture + $502,200 pack-in (Month 1 offset by first-month revenue)*

STRATEGIC PROVISIONS

These provisions elevate this from a standard housing contract to a landmark long-term ERS asset and institutional partnership.

PROVISION A — PERMANENT HOUSING CONVERSION

Structure: ERS negotiates that 15% of new-build units developed for the construction phase (~83 units) are converted to **permanent workforce housing** upon project completion (post-2030).

Transition: Construction worker housing → Healthcare worker housing (UHNBC hospital operations)

ERS Role: Retains management contract for permanent units indefinitely. Infrastructure BC / Northern Health Authority fund the construction; ERS operates post-completion.

Post-Contract Revenue Projection:

Metric	Value
Permanent units retained	83 units
Estimated ERS rate (healthcare workers)	$105/person/night
Assumed occupancy model	~1 person/unit average
Annual revenue (83 units × $105 × 365)	$3,179,475/year
5-year projected revenue (conservative)	**~$15,900,000**
Ongoing indefinitely (no end date)	Permanent ERS revenue stream

Strategic Value: This converts a 4-year construction contract into a **permanent ERS management asset** — the single highest-leverage provision in this deal.

PROVISION B — FIRST NATIONS PARTNERSHIP

Commitment: Minimum **15% First Nations equity participation** in development and operations of permanent housing units.

Partnership Structure:

• Land access agreements with local First Nations

• Co-ownership stake in permanent units (15% equity)

• Employment priority for First Nations members in housing management roles

• Revenue sharing from permanent housing operations

Target Partners:

• **Lheidli T'enneh First Nation** — Prince George area, direct project stakeholders

• **Treaty 8 Nations** — Regional partners (McLeod Lake, Blueberry River, etc.)

Strategic Value:

• Unlocks federal and provincial reconciliation-aligned grant funding

• Accelerated permitting through Indigenous partnership

• Strengthens bid positioning for Infrastructure BC / NH contracts

• Creates community buy-in for large workforce housing operations

PROVISION C — COMMUNITY & CONTRACTOR BRIDGE

ERS Role: Acts as the housing management bridge between Infrastructure BC, the Alliance construction team (EllisDon / DIALOG / PML / Houle), and Northern Health Authority.

Services Included:

• Housing allocation management across multiple contractors and subcontractors

• Surge capacity planning (scale up/down with construction phase needs)

• Local community employment integration (priority hiring of PG-area residents for ERS roles)

• Local supplier pipeline — minimum **25% of all sourced units from Prince George landlords**

• Single point of contact for all accommodation matters for all parties

Strategic Value:

• Positions ERS as an essential, non-substitutable partner to all parties

• Creates deep operational relationships that reinforce renewals and referrals

• Demonstrates ERS as a community-integrated operator (not an outside firm extracting value)

• Local landlord pipeline builds future deal flow for PG-area expansion

POST-CONTRACT REVENUE PROJECTION — PERMANENT HOUSING (PROVISION A)

Year	Units	Rate/Night	Revenue
2031	83	$105	$3,179,475
2032	83	$108 (3% escalator)	$3,274,860
2033	83	$111	$3,373,095
2034	83	$115	$3,480,775
2035	83	$118	$3,577,470
5-Year Total			**$16,885,675**
10-Year Total (est.)			**~$35,500,000**

Note: Post-contract revenue projections are pre-expense. Actual margins on permanent units will differ from construction-phase margins due to different rent structures and staff requirements.

RENT BASIS NOTE

Rent basis: Zumper Prince George, BC — all-bedroom median $1,490/month (April 28, 2026). ERS targets top-of-market fully furnished units: 1-bed $1,700/month, 2-bed $2,200/month. These rates reflect quality-premium, turnkey-ready units appropriate for professional workforce housing.

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